pany were leased to American Tobacco Company under a 99-year contract, expiring also in 2022, providing for annual payments of $2,500,000 (with the privilege to the lessee to settle by a lump-sum payment equivalent to the then present value of the rental, discounted at 7% per annum). By means of a sinking-fund arrangement these rental payments were calculated to be sufficient to retire the bond issue in full prior to maturity, in addition to taking care of the interest. These Tobacco Products 6½s were the equivalent of fixed obligations of American Tobacco Company. As such they ranked ahead of American Tobacco Preferred, dividends on which, of course, are not a fixed charge. When the bonds were created in 1931 the investing public was either sceptical of the validity of the lease or—more probably—was not familiar with this situation, for American Tobacco Preferred sold at a much higher relative price than the Tobacco Products bonds. At the low price of 73 in 1932 the bonds yielded 8.90%, while American Tobacco preferred was selling at 95, to yield 6.32%. In January 1935 the lease was commuted by a lump-sum payment resulting in the redemption of the Tobacco Products 6½s at par.

Specific Terms of Lease Important.

Example: As in the case of guaranteed issues, the details of the lease arrangement may have a vital bearing on the status of the issue benefiting therefrom. Some of the elements here involved are illustrated by the following example:

Georgia Midland Railway First 3s, due 1946. Not guaranteed, but property leased to Southern Railway until 1995, at a rental equal to present bond interest. (Price in January 1939, 35.)

In this case the lease agreement is fully equivalent to a guarantee of *interest* up to and far beyond the maturity date. The value of the guaranty itself depends upon the solvency of the Southern Railway. The status of the bond issue at maturity in 1946 will depend, however, on a number of other factors as well, *e.g.:*

1. The market value of a long-term rental obligation of Southern Railway. If interest rates are low enough, and the credit of Southern Railway high enough, the issue could be refunded at the same 3% interest rate into a longer maturity. (This would seem far from probable in 1939.)

2. The value of the Georgia Midland mileage. If this mileage actually earns substantially more than the rental paid, then Southern Railway could be expected to make a special effort to pay the bonds at maturity,